EXECUTIVE SUMMARY

Proposed caps would reset ~Rs 10.8k cr a year of distributor income, equal to ~74% of SBI Life's profit; private insurers must take out Rs 17.9k cr of expense in two years

Rs 10.8k cr

Annual first-year commission above the proposed caps (base case); Monte Carlo P10-P90 Rs 8.6k-13.2k cr

19.5%

Private-sector expense of management vs proposed 15% (yr 2) and 12.5% (yr 5); LIC is at 12.4%

74% / 70%

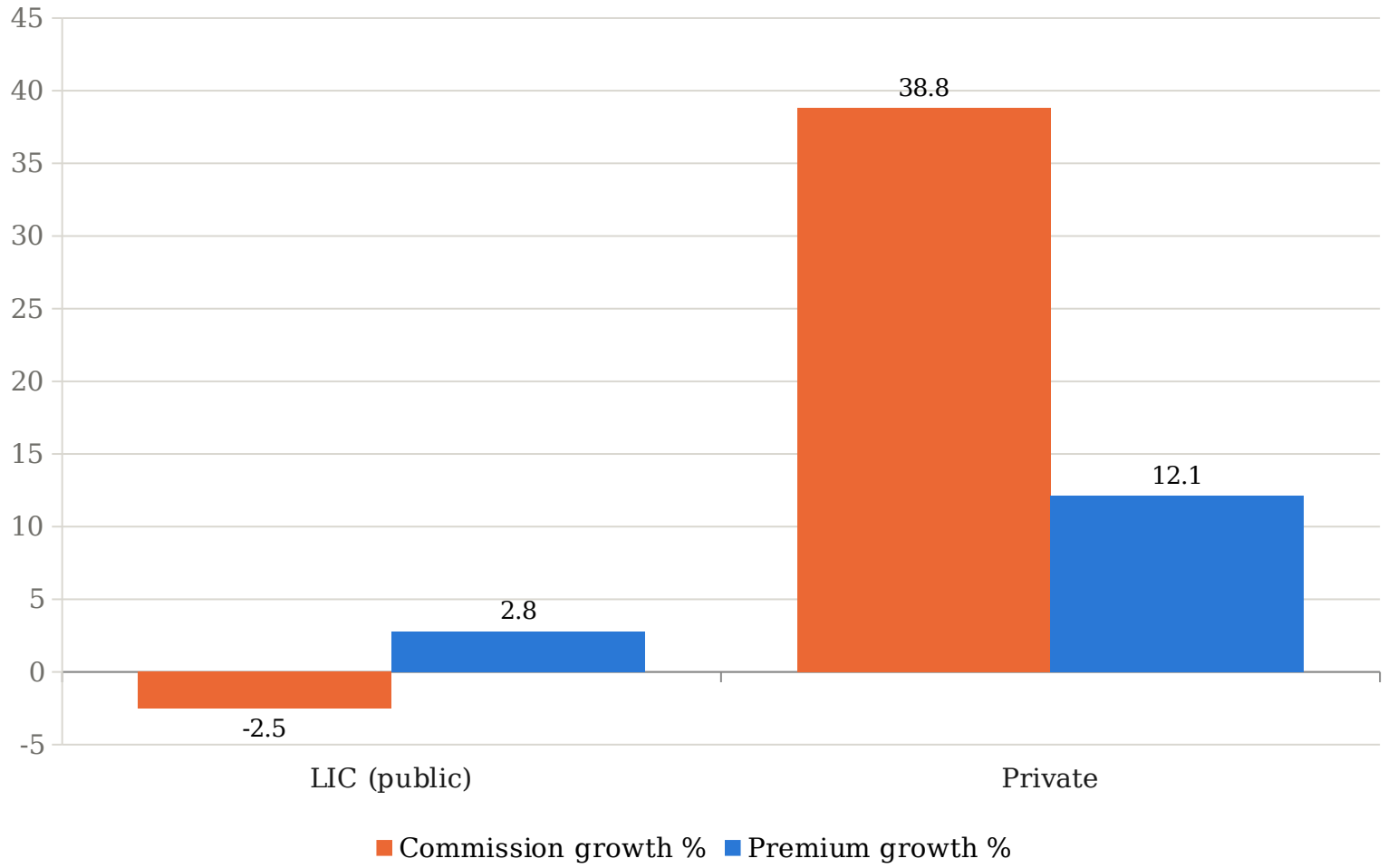
Reset as % of FY25 PAT: SBI Life / HDFC Life (bank-promoted, 50-60% bank channel), vs ~6% for LIC

Implication: the economics move from distributors back to policyholders and insurers, but bank-promoted insurers carry the renegotiation risk. The winning response is a shift to long-PPT products, persistency-linked pay and direct/Bima Sugam channels.

Source: IRDAI Annual Report 2024-25 (Tables I.9-I.14); IRDAI Handbook 2024-25 (T2, T3, T13, T99, T100); IRDAI consultation 'Recalibrating Economics of Insurance Distribution' Parts 1-2 (Sep 2026). Caps are PROPOSED, not final

COMPLICATION

Distribution captured the growth: private commission rose 39% in FY25 against premium growth of 12%



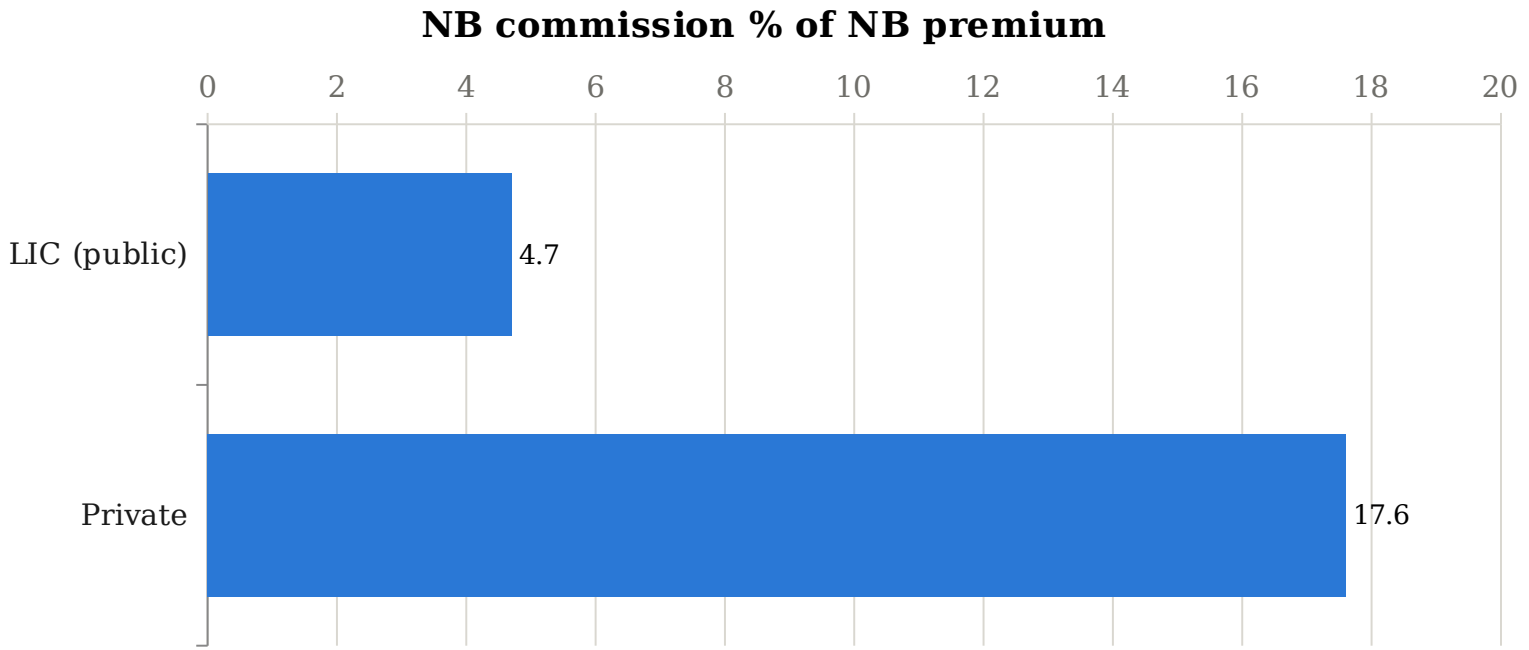
Industry: commission +18.0% vs premium +6.7%; commission ratio 6.21% -> 6.86% of premium.

IRDAI's own diagnosis (Part 1, p19): corporate-agent remuneration +125% FY23-25 vs new business premium +28%; remuneration growing 4-5x faster than business (para 44).

Source: IRDAI Annual Report 2024-25 (Tables I.9-I.14); IRDAI Handbook 2024-25 (T2, T3, T13, T99, T100); IRDAI consultation 'Recalibrating Economics of Insurance Distribution' Parts 1-2 (Sep 2026)

FINDING

Private insurers spend ~4x LIC per rupee of new business on commission (17.6% vs 4.7%)

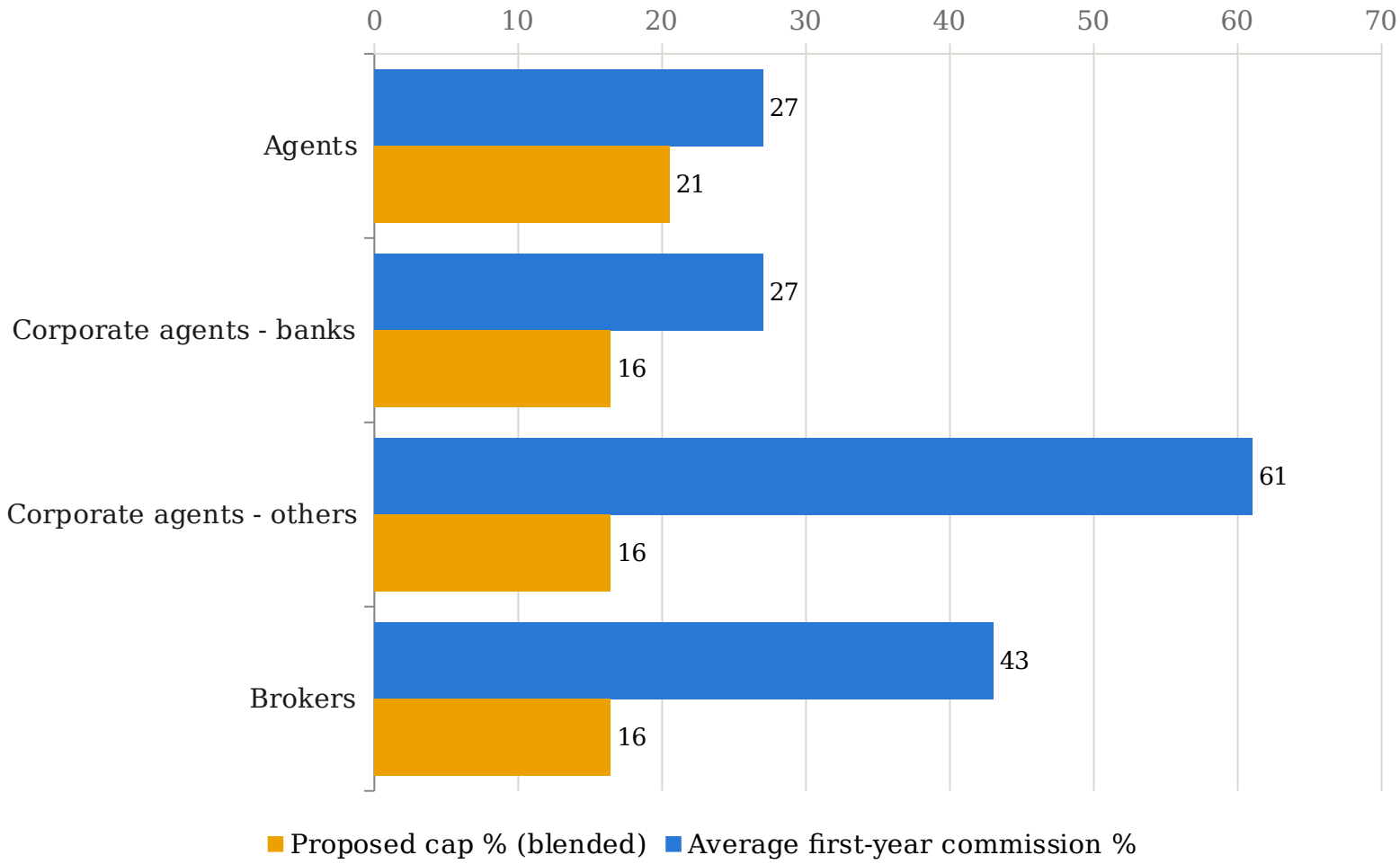


First-year commission alone is ~27% of first-year premium for both LIC and private players. The private gap comes from mix: LIC's new business is dominated by low-commission single premium.

Source: IRDAI Annual Report 2024-25 (Tables I.9-I.14); IRDAI Handbook 2024-25 (T2, T3, T13, T99, T100); IRDAI consultation 'Recalibrating Economics of Insurance Distribution' Parts 1-2 (Sep 2026). New-business commission = first-year + single-premium commission / (first-year + single premium)

FINDING

Every channel pays above its proposed cap; brokers and 'other' corporate agents sit 27-45 pp over, banks 11 pp, agents 6.5 pp



Agents: Rs 4,046 cr
Corporate agents - banks: Rs 4,301 cr
Corporate agents - others: Rs 1,168 cr
Brokers: Rs 1,235 cr

Total: Rs 10,751 cr (lower bound: channel maxima reach 62-92%)

Source: IRDAI Annual Report 2024-25 (Tables I.9-I.14); IRDAI Handbook 2024-25 (T2, T3, T13, T99, T100); IRDAI consultation 'Recalibrating Economics of Insurance Distribution' Parts 1-2 (Sep 2026); Annexure 3 Table 4; cap blended at an assumed PPT mix (50% >=10y), see workbook 4_Cap_Gap

FINDING

Relative to profit, bank-promoted private insurers are the most exposed; in rupees LIC is largest only because of scale

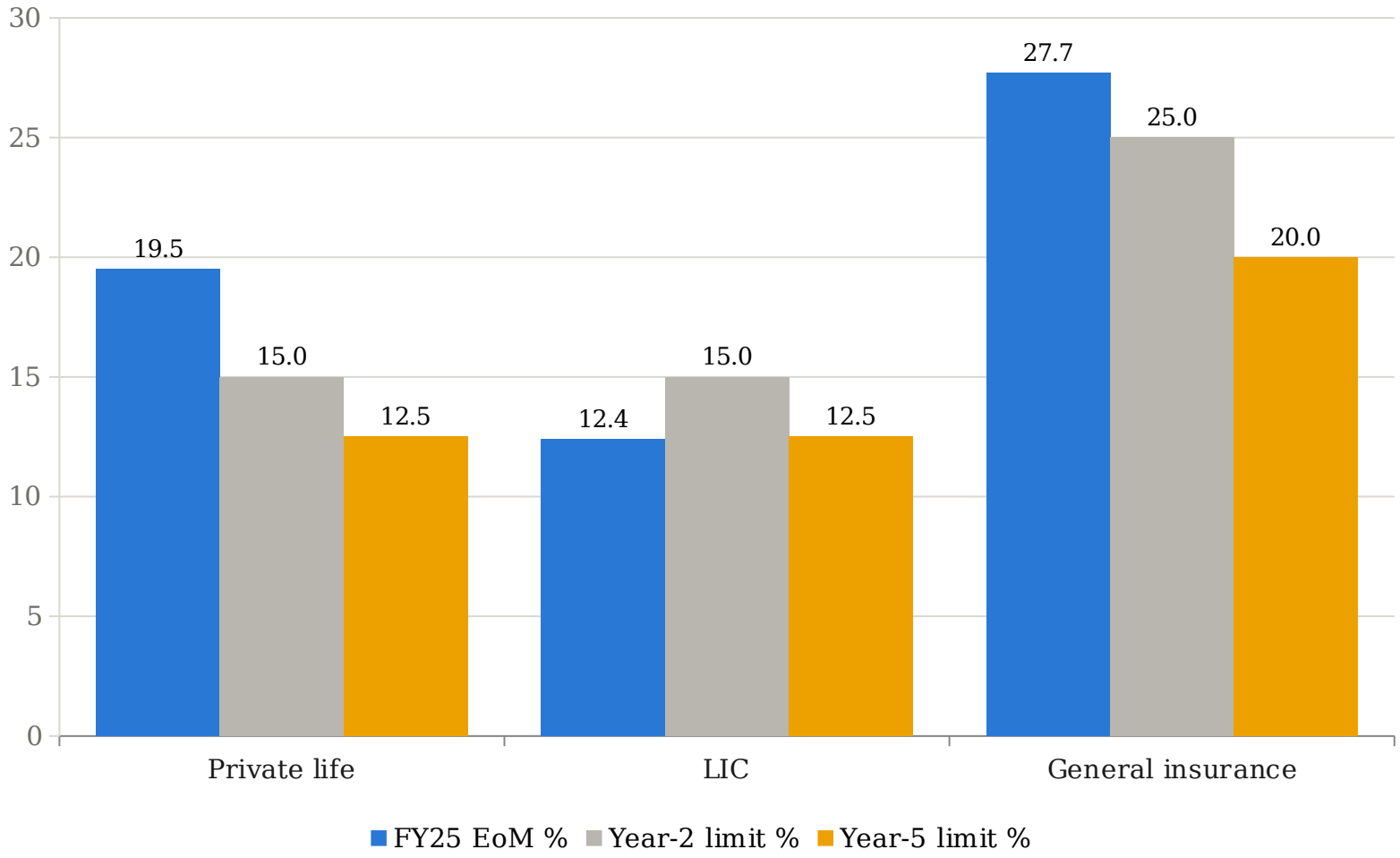
Insurer	Bank channel %	Reset Rs cr	% of premium	% of FY25 PAT
Life Insurance Corporation of India	4	3,127	0.64	**6**
SBI Life	59	1,777	2.09	**74**
HDFC Life	50	1,259	1.77	**70**
TATA AIA Life	42	829	2.63	-
Axis MaxLife	51	729	2.19	-
ICICI Prudential Life	31	652	1.33	-
Bajaj Allianz Life	35	555	2.04	-
Aditya Birla Sunlife	52	304	1.47	-
Shriram Life	2	296	7.03	-
Kotak Mahindra Life	47	236	1.29	-

Promoter banks lose only 0.8-1.7% of FY26 other income, so they have room to hold the line in negotiations; the insurer carries more of the risk.

Source: IRDAI Annual Report 2024-25 (Tables I.9-I.14); IRDAI Handbook 2024-25 (T2, T3, T13, T99, T100); IRDAI consultation 'Recalibrating Economics of Insurance Distribution' Parts 1-2 (Sep 2026); PAT from Screener (secondary) for listed insurers only

FINDING

The EoM glide path forces private life insurers to remove Rs 17.9k cr of cost by year 2 and Rs 27.8k cr by year 5 (FY25 base)



Cut needed (Rs cr, FY25 base)
Private life: 17,880 (Y2) / 27,803 (Y5)
LIC: 0 vs 15%/12.5%, but must reach 10%
General: 8,174 (Y2) / 23,555 (Y5)

Source: IRDAI Annual Report 2024-25 (Tables I.9-I.14); IRDAI Handbook 2024-25 (T2, T3, T13, T99, T100); IRDAI consultation 'Recalibrating Economics of Insurance Distribution' Parts 1-2 (Sep 2026); Box 2 (FY2027-28 = Year 1). EoM proxy = (commission + opex) / premium

RECOMMENDATION

A 90-day agenda for a private life CEO: reprice the product shelf, rewrite bank contracts and build the direct channel before caps bite in FY28

Move	What to do in 90 days	Why (evidence)
1. Shift mix to long PPT	Re-weight incentives to >=10y PPT where the cap is 20-25%	<5y PPT cap is 5-6.25%; avg FYP commission today ~27%
2. Rewrite bancassurance contracts	Fold rewards into capped commission; add persistency claw-backs	Total payouts to promoter banks up to 42% of NB (Annex 3 T8)
3. Protect term	Redesign term distribution economics	Term FYP commission averages 51% vs 25-30% cap
4. Build direct and Bima Sugam	Fund digital/direct now from commission savings	Direct/online is ~12% of individual NB today
5. Cost programme	Target Rs 18k cr industry-wide opex+commission reduction	Private EoM 19.5% vs 15% in 2 years

Source: IRDAI Annual Report 2024-25 (Tables I.9-I.14); IRDAI Handbook 2024-25 (T2, T3, T13, T99, T100); IRDAI consultation 'Recalibrating Economics of Insurance Distribution' Parts 1-2 (Sep 2026)

Appendix: regulatory timeline and method

- Dec 2025: Sabka Bima Sabki Raksha Act passed (effective 5 Feb 2026); 100% FDI under automatic route.
- 23-24 Sep 2026: IRDAI consultation on distribution economics; comments closed 25 Oct 2026.
- Proposed: EoM 15% (Y2) / 12.5% (Y5) for life, 25% / 20% for general; commission caps by PPT and channel (Box 4A/4B); ban on forced bundling.
- Method: channel gap = Annexure 3 average first-year commission - cap blended at an assumed PPT mix; rupees = gap x FYP allocated by Handbook T99 channel shares. Monte Carlo over PPT mix, term share and channel rates (seed 20261102).
- Limits: IRDAI does not publish commission by PPT or by insurer-channel; the cap test is directional, a lower bound on averages.

Source: IRDAI Annual Report 2024-25 (Tables I.9-I.14); IRDAI Handbook 2024-25 (T2, T3, T13, T99, T100); IRDAI consultation 'Recalibrating Economics of Insurance Distribution' Parts 1-2 (Sep 2026)